few are knowledgeable, the tendency toward dependence is virtually impulsive. As a result, market trends are steered not by the rational decisions of individual minds but by the peculiar collective sensibilities of the herd. The pervasive dependence among its members produces an emotional interpersonal dynamic that, like all feedback systems, has *form*. As a result, the crowd behaves essentially the same way in every market cycle, regardless of degree. Some trends last longer than others and some travel further than others, but the psychological progression through each bull and bear market is always the same. Knowledge of this dynamic is the only reliable basis upon which an investor can rise above the crowd and think, and act, independently of it. Elliott's method for determining the stage of an up/down cycle for any degree of market trend has stood the test of time through such diverse applications as profitably trading tick-by-tick patterns from the floor of the Chicago Board Options Exchange to correctly forecasting trends lasting decades.

The ability of an analyst to identify the relevant patterns, interpret them properly, and anticipate the ones to follow is another matter. *That* task is exceedingly difficult, as the uncertainties expressed throughout this book attest. Nevertheless, even on that score, the Wave Principle provides some advantages that most forecasting methods lack. For instance, it provides a method of ranking alternative possibilities. Also important, it forces the analyst to look at the big picture. A proper long term perspective elevates the wave analyst above the cacophony of daily news. It provides the opportunity to make sense of the great trend changes in markets and the dramatic social events that accompany them. Perhaps most important, using the Wave Principle assures that the ultimate determinant of the objective analyst's opinion is the *market*, not a presumption about outside causes. It thus allows for objectively placed stops and a basis for changing one's opinion before losses mount.

There are many published examples, going back sixty years, of the utility of this perspective as interpreted by the foremost practitioners of Elliott Wave forecasting. As one example that pertains to this book, from November 1979 to April 1981, several issues of *The Elliott Wave Theorist* presented studies showing that the great era of accelerating inflation in the United States was ending. This conclusion was based solely upon the completion of long term price patterns in investment markets that portended a sea change in financial and sociological trends. When the tide changed in 1980-1982, it changed to disinflation, i.e., a sharply lower rate of inflation that